Homeowners Policy - Special Form

Form LM-HO-03 (06/25) | Larkspur Mutual Insurance Company

Agreement

We will provide the insurance described in this policy in return for the premium and compliance with all applicable provisions of this policy. This policy consists of this form, the Declarations, and any endorsements shown in the Declarations.

Definitions

1. "You" and "your" refer to the named insured shown in the Declarations and the spouse if a resident of the same household. "We", "us" and "our" refer to Larkspur Mutual Insurance Company.

2. "Insured" means you and residents of your household who are your relatives or other persons under the age of 21 in your care or the care of a resident relative.

3. "Residence premises" means the one-family dwelling where you reside, other structures and grounds at that location, shown as the property address in the Declarations.

4. "Actual cash value" means the cost to repair or replace property with property of like kind and quality, less depreciation for age, wear and condition.

5. "Replacement cost" means the cost to repair or replace property with material of like kind and quality, without deduction for depreciation.

6. "Sudden and accidental" means occurring abruptly and unexpectedly, and not gradually or over a period of time.

7. "Flood or surface water" means flood, surface water, waves (including tidal wave and tsunami), tides, tidal water, overflow of any body of water (including any stream, creek, river, pond or lake), or spray from any of these, all whether or not driven by wind, including storm surge. It includes water from heavy rain that collects and flows over the surface of the ground.

8. "Water backup" means water or water-borne material which backs up through sewers or drains, or which overflows or is discharged from a sump, sump pump or related equipment.

9. "Fungi" means any type or form of fungus, including mold or mildew, and any mycotoxins, spores, scents or by-products produced or released by fungi.

Section I - Property Coverages

Coverage A - Dwelling

We cover the dwelling on the residence premises, including structures attached to the dwelling, and materials and supplies on or next to the residence premises used to construct, alter or repair the dwelling.

Coverage B - Other Structures

We cover other structures on the residence premises set apart from the dwelling by clear space, such as a detached garage, shed, or fence. Structures connected to the dwelling only by a fence, utility line or similar connection are other structures. The limit for Coverage B is shown in the Declarations (normally 10% of Coverage A).

Coverage C - Personal Property

C.1 We cover personal property owned or used by an insured while it is anywhere in the world.

C.2 Our limit for personal property usually located at an insured's residence other than the residence premises is 10% of the Coverage C limit.

C.3 Loss settlement for Coverage C is described in Condition §I.8(3).

C.4 Special Limits of Liability. These limits do not increase the Coverage C limit. The special limit for each category is the total limit for each loss for all property in that category. These limits do not apply to property scheduled under the Scheduled Personal Property Endorsement (LM-HO-SPP).

(a) $200 on money, bank notes, bullion, coins, medals and stored value cards.

(b) $1,500 on securities, accounts, deeds, evidences of debt, letters of credit, passports and tickets.

(c) $1,500 on watercraft, including their trailers, furnishings, equipment and outboard engines.

(d) $1,500 on trailers or semitrailers not used with watercraft.

(e) $1,500 for loss by theft of jewelry, watches, furs, precious and semiprecious stones.

(f) $2,500 for loss by theft of firearms and related equipment.

(g) $2,500 for loss by theft of silverware, goldware, platinumware and pewterware.

(h) $1,500 on electronic apparatus and accessories while in or upon a motor vehicle.

Coverage D - Loss of Use

If a loss covered under Section I makes that part of the residence premises where you reside not fit to live in, we cover Additional Living Expense: any necessary increase in living expenses incurred by you so that your household can maintain its normal standard of living. Payment will be for the shortest time required to repair or replace the damage or, if you permanently relocate, the shortest time required for your household to settle elsewhere. The limit for Coverage D is shown in the Declarations.

I.5 Additional Coverages

(1) Debris Removal. We will pay your reasonable expense for the removal of debris of covered property if a peril insured against causes the loss. We will also pay your reasonable expense, up to $1,000 per loss, for the removal from the residence premises of trees felled by windstorm, hail, or weight of ice, snow or sleet, provided the tree damages a covered structure or blocks a driveway. No more than $500 of this limit will be paid for the removal of any one tree.

(2) Reasonable Repairs. We will pay the reasonable cost incurred by you for necessary measures taken solely to protect covered property from further damage when that damage is caused by a peril insured against - for example, emergency water extraction and drying, board-up, and tarping.

(3) Trees, Shrubs and Other Plants. We cover trees, shrubs, plants or lawns on the residence premises for loss caused by fire or lightning, explosion, riot, aircraft, vehicles not owned or operated by a resident, vandalism or theft, up to 5% of the Coverage A limit. We do not cover loss to trees by windstorm.

(4) Fire Department Service Charge. We will pay up to $500 for your liability assumed by contract or agreement for fire department charges incurred when the fire department is called to save or protect covered property.

(5) Loss Assessment. We will pay up to $1,000 for your share of a loss assessment charged by a corporation or association of property owners for direct loss to collectively owned property caused by a peril insured against.

(6) Fungi, Wet or Dry Rot, or Bacteria. We will pay up to $5,000 in total during the policy period for direct physical loss caused by fungi, wet or dry rot, or bacteria, including the cost to remove it and to tear out and replace property to gain access, but only when it results from a peril insured against that is not otherwise excluded (for example, a sudden and accidental discharge of water). This coverage does not apply to fungi, rot or bacteria resulting from continuous or repeated seepage or

leakage described in §I.6.A(2)(c).

I.6 Perils Insured Against

A. Coverage A - Dwelling and Coverage B - Other Structures

We insure against direct physical loss to property described in Coverages A and B. We do not insure, however, for loss:

(1) Excluded under Section I - Exclusions (§I.7).

(2) Caused by:

(a) Freezing of a plumbing, heating, air conditioning or automatic fire protective sprinkler system or of a household appliance, unless you have used reasonable care to maintain heat in the building or to shut off the water supply and drain all systems and appliances.

(b) Theft in or to a dwelling under construction, or of materials and supplies for use in the construction, until the dwelling is finished and occupied.

(c) Constant or repeated seepage or leakage of water or steam over a period of 14 or more days from within a plumbing, heating, air conditioning or automatic fire protective sprinkler system, or from within a household appliance, or from around a plumbing fixture (including a toilet, shower, bathtub or sink), which results in deterioration, rot, mold or other fungi, or damage to floors, subfloors, walls, ceilings or framing.

(d) Vandalism and malicious mischief, or breakage of glass, if the dwelling has been vacant for more than 60 consecutive days immediately before the loss.

(e) Wear and tear, marring, deterioration; mechanical breakdown, latent defect, inherent vice; smog, rust or other corrosion; mold, fungus or wet rot (except as provided in §I.5(6)); smoke from agricultural smudging or industrial operations; settling, shrinking, bulging or expansion of pavements, foundations, walls, floors, roofs or ceilings; birds, rodents or insects; or animals owned or kept by an insured.

Exception to (2): Unless the loss is otherwise excluded, we cover loss to property covered under Coverage A or B resulting from an accidental discharge or overflow of water or steam from within a plumbing, heating, air conditioning or automatic fire protective sprinkler system or household appliance, including the cost to tear out and replace any part of a building necessary to repair the system or appliance. We do not cover loss to the system or appliance from which the water escaped. This exception does not apply to loss described in (2)(c).

B. Coverage C - Personal Property

We insure for direct physical loss to the property described in Coverage C caused by any of the following perils, unless the loss is excluded in Section I - Exclusions:

(1) Fire or lightning.

(2) Windstorm or hail. This peril does not include loss to property inside a building caused by rain, snow, sleet, sand or dust unless the direct force of wind or hail first makes an opening in a roof or wall and the rain, snow, sleet, sand or dust enters through this opening.

(3) Explosion.

(4) Riot or civil commotion.

(5) Aircraft, including self-propelled missiles and spacecraft.

(6) Vehicles.

(7) Smoke, meaning sudden and accidental damage from smoke.

(8) Vandalism or malicious mischief.

(9) Theft, including attempted theft and loss of property from a known place when it is likely that the property has been stolen. Theft must be reported to the police.

(10) Falling objects.

(11) Weight of ice, snow or sleet.

(12) Accidental discharge or overflow of water or steam from within a plumbing, heating, air conditioning or automatic fire protective sprinkler system or from within a household appliance. This peril does not include loss caused by continuous or repeated seepage or leakage over a period of 14 or more days.

(13) Sudden and accidental tearing apart, cracking, burning or bulging of a steam or hot water heating system, an air conditioning or automatic fire protective sprinkler system, or an appliance for heating water.

(14) Freezing of a plumbing, heating, air conditioning or sprinkler system or household appliance (subject to reasonable care).

(15) Sudden and accidental damage from artificially generated electrical current.

(16) Volcanic eruption.

I.7 Exclusions

We do not insure for loss caused directly or indirectly by any of the following. Such loss is excluded regardless of any other cause or event contributing concurrently or in any sequence to the loss.

(1) Ordinance or Law, meaning any ordinance or law requiring or regulating the construction, demolition, remodeling, renovation or repair of property, except as provided by endorsement.

(2) Earth Movement, including earthquake, landslide, mudflow, subsidence and sinkhole. Direct loss by fire, explosion or breakage of glass resulting from earth movement is covered.

(3) Water, meaning:

(a) Flood or surface water, as defined in Definition 7;

(b) Water backup, as defined in Definition 8, unless the Water Backup and Sump Discharge Endorsement (LM-HO-WB) is shown in the Declarations;

(c) Water below the surface of the ground, including water which exerts pressure on, or seeps, leaks or flows through, a building, sidewalk, driveway, foundation, swimming pool or other structure, or through a basement floor, door, window or other opening.

This exclusion applies regardless of whether the water is caused by or results from human or animal forces or any act of nature. Direct loss by fire, explosion or theft resulting from water is covered.

(4) Power Failure, meaning the failure of power or other utility service if the failure takes place off the residence premises.

(5) Neglect, meaning neglect of an insured to use all reasonable means to save and preserve property at and after the time of a loss.

(6) War, including undeclared war, civil war, insurrection, rebellion or revolution.

(7) Nuclear Hazard.

(8) Intentional Loss, meaning any loss arising out of any act an insured commits or conspires to commit with the intent to cause a loss.

(9) Governmental Action, meaning the destruction, confiscation or seizure of property by order of any governmental or public authority.

I.8 Conditions

(1) Deductible. Unless otherwise noted, we will pay only that part of the total of all loss payable under Section I that exceeds the deductible shown in the Declarations (the all-peril deductible). If a Windstorm or Hail deductible is shown in the Declarations - as a percentage of the Coverage A limit or as a flat amount - it applies to loss caused by windstorm or hail in place of the all-peril deductible. A percentage deductible is calculated by multiplying the Coverage A limit by the percentage shown. Only one deductible applies to all loss from one occurrence. Property scheduled under LM-HO-SPP is not subject to a deductible.

(2) Duties After Loss. In case of a loss to covered property, you must see that the following are done: (a) give prompt notice to us or our agent; (b) notify the police in case of loss by theft; (c) protect the property from further damage, make reasonable and necessary repairs to protect the property, and keep an accurate record of repair expenses; (d) cooperate with us in the investigation of a claim; (e) prepare an inventory of damaged or stolen personal property showing the quantity, description, actual cash value and amount of loss, and attach all bills, receipts and related documents that justify the figures in the inventory; (f) as often as we reasonably require, show the damaged property, provide us with records and documents we request, and submit to examination under oath; and (g) send to us, within 60 days after our request, your signed, sworn proof of loss.

(3) Loss Settlement. Covered property losses are settled as follows: (a) Buildings under Coverage A or B at replacement cost without deduction for depreciation, provided that until actual repair or replacement is completed we will pay only the actual cash value of the damage; (b) Personal property under Coverage C at actual cash value at the time of loss, unless the Replacement Cost - Personal Property Endorsement (LM-HO-RCC) is shown in the Declarations.

(4) Loss Payment. We will pay you unless some other person is named in the policy or is legally entitled to receive payment. Loss will be payable 30 days after we reach agreement with you, entry of a final judgment, or the filing of an appraisal award with us.

(5) Appraisal. If you and we fail to agree on the amount of loss, either may demand an appraisal of the loss.

(6) Other Insurance. If a loss covered by this policy is also covered by other insurance, we will pay only the proportion of the loss that the limit of liability that applies under this policy bears to the total amount of insurance covering the loss.

(7) Suit Against Us. No action can be brought against us unless there has been full compliance with all of the terms under Section I of this policy and the action is started within two years after the date of loss.

(8) Our Option. If we give you written notice within 30 days after we receive your signed, sworn proof of loss, we may repair or replace any part of the damaged property with material or property of like kind and quality.

(9) Abandonment of Property. We need not accept any property abandoned by an insured.

(10) Mortgage Clause. If a mortgagee is named in the Declarations, any loss payable under Coverage A or B will be paid to the mortgagee and you, as interests appear.

(11) Concealment or Fraud. We provide no coverage for an insured who has, whether before or after a loss, intentionally concealed or misrepresented any material fact or circumstance, engaged in fraudulent conduct, or made false statements relating to this insurance.

Section II - Liability Coverages

Coverage E - Personal Liability

If a claim is made or a suit is brought against an insured for damages because of bodily injury or property damage caused by an occurrence to which this coverage applies, we will pay up to our limit of

liability for the damages for which an insured is legally liable, and provide a defense at our expense.

Coverage F - Medical Payments to Others

We will pay the necessary medical expenses that are incurred or medically ascertained within three years from the date of an accident causing bodily injury to a person on the insured location with the permission of an insured. Coverage F does not apply to you or regular residents of your household.

Endorsement LM-HO-WB - Water Backup and Sump Discharge or Overflow

We cover direct physical loss to covered property caused by water backup, as defined in Definition 8, up to the limit shown in the Declarations for this endorsement. The all-peril deductible applies. This endorsement does not cover loss caused by flood or surface water (Definition 7) or by water below the surface of the ground (§I.7(3)(c)), even if the flood or surface water causes or contributes to the backup or overflow, or enters the dwelling through a drain, sump or basement opening. We do not cover loss to the sump pump or related equipment itself.

Endorsement LM-HO-SPP - Scheduled Personal Property

We cover each item listed on the Schedule for the amount of insurance shown (agreed value) against direct physical loss, including mysterious disappearance, subject to the following exclusions: wear and tear, gradual deterioration, insects or vermin, inherent vice, war and nuclear hazard. The Section I special limits of liability (§C.4) and the Section I deductible do not apply to scheduled items.

Endorsement LM-HO-RCC - Replacement Cost - Personal Property

Losses to property covered under Coverage C are settled at replacement cost without deduction for depreciation, subject to the Coverage C limit. Until the property is actually repaired or replaced, we will pay actual cash value.